

Latency

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Point of This Talk

Outline

- 1 Trading
- 2 Time
- 3 Distance
 - WAN
 - Colocation
- 4 Networking
- 5 Execution
- 6 Matching Engine
- 7 Market Data
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Trading

“All economic activity is carried out through time. Every individual economic process occupies a certain time, and all linkages between economic processes necessarily involve longer or shorter periods of time.” Friedrich Hayek

Economic Considerations

Latency

```
> date +%s%N
1788413610858617734
```

Epoch timestamp: $\underbrace{1788413610}_{\text{epoch seconds}} \underbrace{858}_{\text{millis}} \underbrace{617}_{\mu\text{s}} \underbrace{734}_{\text{nanos}}$

```
> ping -c 5 192.168.0.109
PING 192.168.0.109 (192.168.0.109): 56 data bytes
64 bytes from 192.168.0.109: icmp_seq=0 ttl=64 time=3.763 ms
64 bytes from 192.168.0.109: icmp_seq=1 ttl=64 time=5.376 ms
64 bytes from 192.168.0.109: icmp_seq=2 ttl=64 time=7.845 ms
64 bytes from 192.168.0.109: icmp_seq=3 ttl=64 time=43.958 ms
64 bytes from 192.168.0.109: icmp_seq=4 ttl=64 time=4.174 ms

--- 192.168.0.109 ping statistics ---
5 packets transmitted, 5 packets received, 0.0% packet loss
round-trip min/avg/max/stddev = 3.763/13.023/43.958/15.533 ms
```

Time is Money

Time



"Time exists in order that everything doesn't happen all at once." Ray Cummings



"By a clock we understand anything characterized by a phenomenon passing periodically through identical phases so that ... all that happens in a given period is identical with all that happens in an arbitrary period." Albert Einstein

Quartz powered by a DC signal vibrates due to the piezoelectric effect at a reliable **reference frequency**.

A **voltage-controlled oscillator** has a frequency dependent on the input voltage.

A **phase detector** can produce a signal whose strength depends on how fast or slow the VCO is running compared to the reference.

If the VCO runs at a multiple of the reference frequency and is kept in a **phase-locked loop** with the reference, we can achieve oscillation at some multiple of the reference frequency. This can be chained a number of times.

Heat, manufacturing differences, crystal aging, voltage fluctuations, etc., can cause two clocks to experience **clock drift**.

Clock Drift

Synchronisation

Distance

"Speed is the essence of war." Sun Tzu

"Remote fountains are of little help to nearby fires." Han Fei

Things that are further away usually take longer to get a reply from:

```
> ping -c 3 192.168.0.109
PING 192.168.0.109 (192.168.0.109): 56 data bytes
64 bytes from 192.168.0.109: icmp_seq=0 ttl=64 time=2.593 ms
64 bytes from 192.168.0.109: icmp_seq=1 ttl=64 time=12.022 ms
64 bytes from 192.168.0.109: icmp_seq=2 ttl=64 time=53.092 ms

--- 192.168.0.109 ping statistics ---
3 packets transmitted, 3 packets received, 0.0% packet loss
round-trip min/avg/max/stddev = 2.593/22.569/53.092/21.924 ms
```

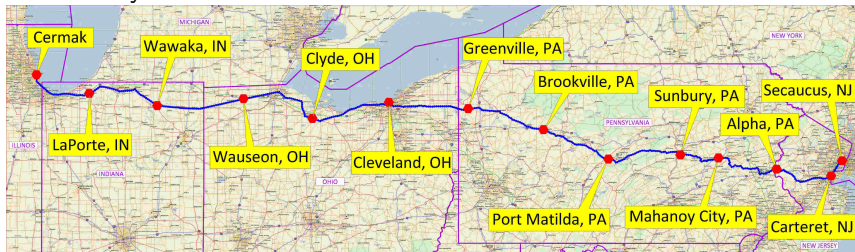
```
> ping -c 3 46.17.63.250
PING 46.17.63.250 (46.17.63.250): 56 data bytes
64 bytes from 46.17.63.250: icmp_seq=0 ttl=30 time=403.366 ms
64 bytes from 46.17.63.250: icmp_seq=1 ttl=30 time=338.468 ms
64 bytes from 46.17.63.250: icmp_seq=2 ttl=30 time=336.076 ms

--- 46.17.63.250 ping statistics ---
3 packets transmitted, 3 packets received, 0.0% packet loss
round-trip min/avg/max/stddev = 336.076/359.303/403.366/31.172 ms
```

Private Wide Area Network Links

1850: Paul Reuter establishes a carrier pigeon service between financial hubs in Germany and Belgium

2010: Spread Networks lays an optic fiber network between Chicago and New Jersey



2012: McKay Brothers installs an overground microwave tower relay

2017: Go West consortium consolidates fiber optic, microwave, and undersea cables between Chicago and Tokyo

Supposedly, shortwave radio can be bounced off the ionosphere to traverse oceans faster than the speed of light in glass.

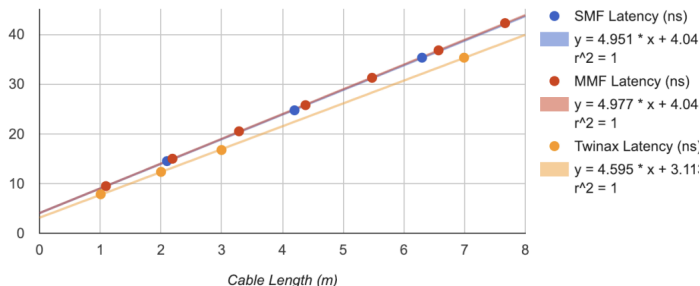
Physical Media

Latency is either along the cable or on one of the ends.

The longer the distance, the more we care about effects that scale linearly with distance.

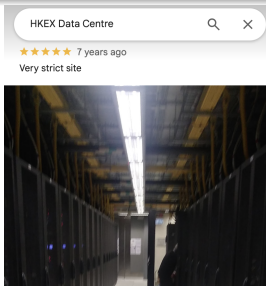
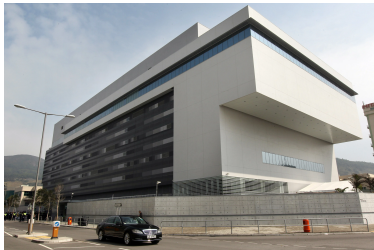
For private WAN links, we care mostly about the **propagation delay** of the medium, and the overhead required to remedy **attenuation**.

Cable Latencies



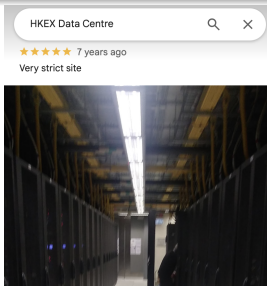
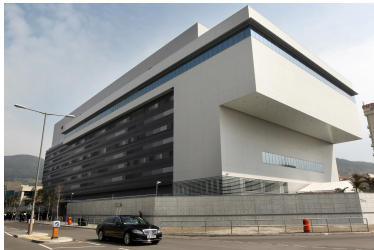
Direct Market Access

Remote connection < Proximity hosting < Primary colocation



Direct Market Access

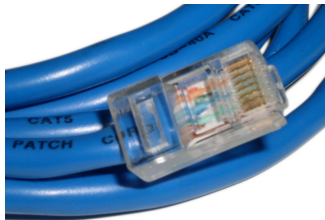
Remote connection < Proximity hosting < Primary colocation



Jan 19 (Reuters)

China's securities regulator has asked brokers to remove client-dedicated servers from data centers in local exchanges, a move that will deprive rapid-trading "flash boys" of an edge against other investors, people with knowledge of the matter said. High-frequency traders in China have long used servers situated at data centers run by futures and stock exchanges and owned by brokers to execute trades as the physical adjacency shaves off milliseconds or even microseconds.

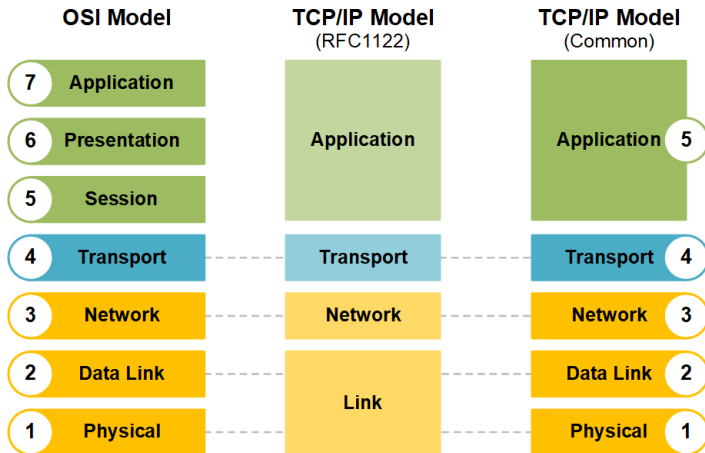
Networking



"This new form of communication could have some utility." Guglielmo Marconi



Networking Stack



- 1969: NPL network becomes operational, governed by a central 'routing' computer rather than an L1 crosspoint
- 1977: Patent granted for Ethernet, introducing CSMA/CD
- 1986: HP announces StarLAN, one of the first Ethernet hubs.
- 1986: DEC introduces the LANBridge 100 with a software-level MAC table and selective casting.
- 1989: Kalpana introduces EtherSwitch with a hardware-level MAC table, allowing half-duplex cut-through switching
- 1995: Cisco releases the Catalyst 5000 switch, supporting multicast switching
- 1999: Cisco releases the Catalyst 6000 switch, supporting Pulse Amplitude Modulation

L2: Ethernet

802.3 Ethernet packet and frame structure

Layer	Preamble	Start frame delimiter (SFD)	MAC destination	MAC source	802.1Q tag (optional)	Ethertype (Ethernet II) or length (IEEE 802.3)	Payload	Frame check sequence (32-bit CRC)	Interpacket gap (IPG)
Length (octets)	7	1	6	6	(4)	2	42–1500 ^[c]	4	12
Layer 2 Ethernet frame	(not part of the frame)		← 64–1522 octets →						(not part of the frame)
Layer 1 Ethernet packet & IPG	← 72–1530 octets →								← 12 octets →

L3: IP(v4)

IPv4 header format

Offset	Octet	0								1								2								3							
Octet	Bit	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31
0	0	Version (4)				IHL				DSCP						ECN		Total Length															
4	32	Identification																Flags			Fragment Offset												
8	64	Time to Live								Protocol								Header Checksum															
12	96	Source address																															
16	128	Destination address																															
20	160	(Options) (if IHL > 5)																															
⋮	⋮																																
56	448																																

L4: UDP

UDP header format^[7]

Offset	Octet	0								1								2								3							
Octet	Bit	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31
0	0	Source Port															Destination Port																
4	32	Length															Checksum																
8	64	Data																															
12	96																																
⋮	⋮																																

PCAPs & WireShark

L4: TCP

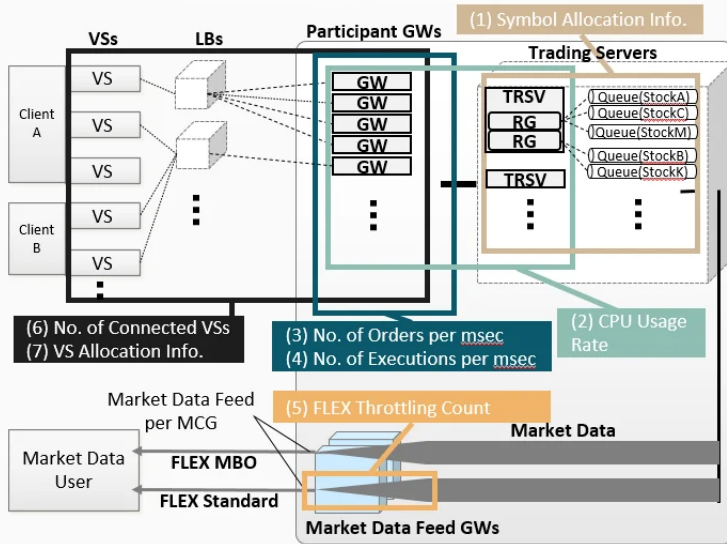
Exchange Protocols

Execution

*"We affirm that the world's magnificence has been enriched by a new beauty:
the beauty of speed." Filippo Marinetti*

Colocation Topology

Visualization of the Data Set



“What if you want to be a bit more unpleasant? How about you work out ... **which is the best gateway to connect to?** ... You can start sending your orders through that.

What about all these **other gateways**? What if you start stuffing orders through those other gateways that you don't care for matching?

... They're now **stuffed up with traffic** so other people can't compete.

Then you go through the gateway that you have set up which you know is fast, and you're going to send your orders through nice and quick.” Martin

Thompson, *Evolution of Financial Exchange Architecture*

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Load balancers help accomodate the large volume of data moving through the network, particularly during significant market events. Exchanges often impose limits on throughput (**'transactions per second'**). Limits might be per-session, per-user, etc.

In order to ensure every EP can trade in a fair and orderly market, activities including the following will be considered to be in violation of the above principles and inconsistent with the proper usage of the Exchange's trading systems, and are therefore prohibited:

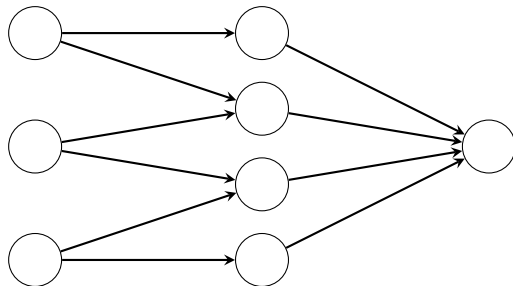
- a) Deliberate fragmentation of Transmission Control Protocol (TCP) messages ('packet splitting');
- b) Deliberate retransmission of TCP or application layer messages;
- c) Deliberate transmission of corrupt network packets;
- d) Inappropriate/excessive use of non-trading messages such as heartbeat, connection management; and
- e) Hold up or interfere with normal queuing and processing of network or application messages.

Queueing Theory

Suppose all participants have independent latency with mean μ_i and a common standard deviation σ .

If we model latency as a negative Gumbel distribution, the probability of being fastest is conveniently proportional to $\exp\left(\frac{\pi}{\sqrt{6}} \cdot \frac{-\mu_i}{\sigma}\right)$.

If every participant sends n_i independent copies of their message, the probability of being fastest is proportional to $n_i \cdot \exp\left(\frac{\pi}{\sqrt{6}} \cdot \frac{-\mu_i}{\sigma}\right)$.



Example

An online lottery website is offering a \$1m jackpot.

Unfortunately, because they vibecoded the website, nobody is able to buy any tickets. Even worse, n users have each been given one free ticket.

Each number i has some probability p_i of winning, in which case the jackpot will be split amongst all players who chose i . If nobody wins, the jackpot will not pay out.

How should the players choose their numbers?

Lottery Game Solution

If a player chooses each number i with probability π_i , and other players with probability π'_i , the player's expected payoff (in millions of dollars) is

$$\begin{aligned} & \pi_i \cdot p_i \cdot \left(\sum_{k=0}^{n-1} \frac{1}{1+k} \binom{n-1}{k} \pi_i'^k (1 - \pi_i')^{n-1-k} \right) \\ &= \pi_i \cdot p_i \cdot \left(\sum_{k=0}^{n-1} \left(\int_0^1 x^k dx \right) \binom{n-1}{k} (\pi_i')^k (1 - \pi_i')^{n-1-k} \right) \\ &= \pi_i \cdot p_i \cdot \int_0^1 \left(\sum_{k=0}^{n-1} \binom{n-1}{k} (\pi_i' \cdot x)^k (1 - \pi_i')^{n-1-k} \right) dx \\ &= \pi_i \cdot p_i \cdot \int_0^1 (1 - \pi_i' + \pi_i' \cdot x)^{n-1} dx = \pi_i \cdot p_i \cdot \frac{1 - (1 - \pi_i')^n}{n\pi_i'}. \end{aligned}$$

For a symmetric equilibrium, we require that $p_i \cdot \frac{1 - (1 - \pi_i')^n}{n\pi_i'}$ is the same for all i . If $(1 - \pi_i')^n$ is negligible this reduces to $\pi_i' \propto p_i$.

Matching Engine

"The most amazing achievement of the computer software industry is its continuing cancellation of the steady and staggering gains made by the computer hardware industry." Henry Peteroski

The main goal of matching engine design is **reliability**. For the exchange, latency is a secondary consideration.

A matching engine needs to do the following:

- Handle trading session initialisation and publication of reference data

- Capture messages from the network and assign an order in which they are to be processed

- Parse and validate messages, including risk checks

- Apply valid changes to alter the order book state

- Produce trades when appropriate conditions are met

- Log market events for clearing & regulatory review

- Publish market events & order status back to participants

- Handle heartbeats, disconnects, and recovery

Market Data

*"The race is not to the swift, nor the battle to the strong . . . but time and chance
happeneth to them all." Ecclesiastes*

*"The race is not always to the swift, nor the battle to the strong – but that's the
way to bet." Anon.*

Wire-to-wire

"You don't need to be an engineer to be a racing driver, but you do need Mechanical Sympathy." Jackie Stewart

Hardware Design

"All great events hang by a hair." Napoleon

Software Design

"Time is the inexorable process of doing computation." Stephen Wolfram

Programming

"There is no science apart from the general.

It may even be said that the very object of the exact sciences is to spare us these direct verifications." Henri Poincaré

GPU Inference

Bibliography

Classics & Mentioned